



BoJ: Raising our terminal rate forecast to 2.50%

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KEY MESSAGES

We now expect the Bank of Japan to keep raising its policy rate after reaching in 2.00% in Q4 2027, and we shift our terminal forecast to 2.50% in September 2028.

The revised forecast reflects our view that the BoJ has been too slow to adjust to strengthening of underlying inflation pressures.

Our forecast remains for a 25bp hike about every four to five months, as political considerations are likely to temper the case for faster hikes arising from the AI-fueled improvement in the cyclical outlook, pressure on the yen, and loose fiscal policy.

Rates: We see continued steepening pressure on the yield curve, especially 10y and longer, as the rate hike cycle is extended. We will look to enter a steeper in 10s20s.

FX: We see room for USDJPY to gradually appreciate, as even our higher terminal rate forecast leaves the BoJ well behind the curve when the Fed is tightening policy. We remain long USDJPY.

Equity derivatives: With profit-taking pressure on the Nikkei 225 index, rising expectations of a higher terminal rate might encourage investors to reallocate into banks (TPNBK) and domestic-oriented sectors (BNPJPM2).

2.50% forecast for terminal rate: In light of recent developments, we now expect the Bank of Japan to reach a terminal policy rate of 2.50% in September 2028, rather than our previous projection of 2.00% in Q4 2027.

We continue to envisage a 25bp hike about every four to five months, with our end-2026 and end-2027 policy rate forecasts unchanged at 1.25% and 2.00%, respectively.

Improving economic outlook: We upgraded our GDP growth forecasts significantly in [Japan: Lifting growth forecasts on AI boom](#) on 23 June, primarily to reflect expanding benefits from worldwide AI-related investment, especially for Japanese capital goods.

The benefit is not confined to export volumes; export prices have also been rising sharply, creating a positive terms-of-trade shock for the Japanese economy. At the same time, the negative shock from the Middle-East crisis – namely, the surge in oil prices – is now fading.

Household spending has also exceeded our initial expectations. Consumer sentiment did deteriorate markedly after the Middle East conflict escalated, but retail sales grew a robust 2.1% m/m in April and a further 1.9% in May.

Some allowance should be made for the effect of recent changes to taxation of auto sales, but that alone cannot explain the recent strength of private consumption. Spending growth appears to be supported not only by the government's energy subsidies and continued wage growth, but also by positive wealth effects from soaring stock prices.

The June BoJ Tankan results, released on 1 July, only underscored the economy's recent resilience, with a significant improvement in the sentiment index for large manufacturers as well as a solid rise for consumer-related service sectors. Moreover, firms continued to report shortages of labor and production capacity, with FY 2026–27 capex plans pointing to continued investment growth in coming quarters.

Inflation likely to stay high: CPI inflation has kept below 2% y/y since early this year. But after stripping out the effects of policy measures, core inflation is just under 3% if excluding fresh food and slightly above 2% if excluding



fresh food and energy, even though the continuing fall in rice prices since late 2025 has cooled food inflation.

The latest data suggests that underlying inflation momentum remains strong: the June Tokyo print showed the ex-energy core CPI rising a solid 0.4% m/m, even though the pass-through from higher oil prices has hardly materialized yet.

At the corporate level, petrochemical product prices have already risen sharply, and we expect the pass-through to consumer prices to become increasingly evident from the summer onward. We also anticipate a lagged impact from the yen depreciation that began last summer, while soaring chip prices are likely to push up prices for a range of durable goods.

The June Tankan results offered further evidence of more 'active' corporate pricing behavior, showing a jump in firms' one-year-ahead forecasts for selling price of their own products or services from 3.1% to 3.7% on an all-enterprises basis – the highest since the price-forecast component was added to the survey in 2014.

The Tankan also showed firms' general inflation expectations three and five years ahead both inching up to 2.6%. We think data suggests Japan's 'underlying inflation' is already above the BoJ's 2% target.

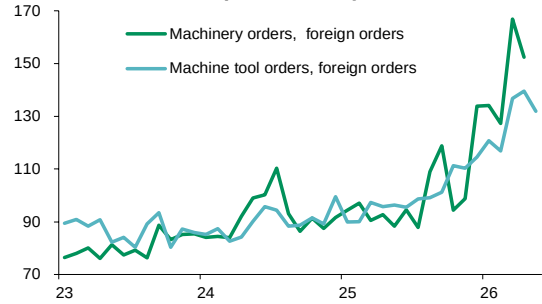
Yen to stay weak, fiscal policy to remain loose: As detailed on [page 4](#), we see the yen remaining under pressure as the Fed moves into a tightening mode. We forecast three Fed rate hikes, starting in December 2026, with the risk tilted toward an earlier start.

Japan's fiscal policy is also likely to remain inflationary. We expect the FY 2027–28 budget to lock in higher spending, as Sanae Takaichi's administration plans to shift into the initial budget some outlays previously financed through supplementary budgets. The government also appears set to cut consumption tax on food from 8% to 1% for two years starting next spring.

While oil prices are now well down from their recent highs, Japan's economy – already operating with a tight output gap – is likely to remain in a cyclical upswing and continue to face persistent inflationary pressure from FX and fiscal policy. Against this backdrop, we expect the BoJ to become increasingly worried about the risk of a medium-term inflation overshoot and to start contemplating an acceleration of rate hikes.

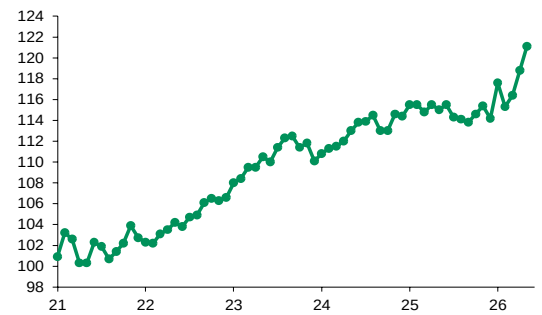
Political pressure intensifying: However, we still see no sign of the Takaichi administration wavering on its preference for low interest rates. In our view, the remarks of the Cabinet Office representative at June's BoJ meeting, Minister Minoru Kiuchi, appear to be aimed at moderating BoJ tightening:

Fig. 1: Machinery orders and machine tool orders (CY2025=100)



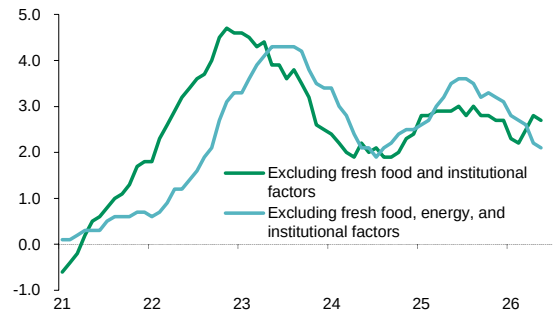
Sources: Cabinet office, JMTBA, BNP Paribas

Fig. 2: Retail sales (CY2020=100, sa)



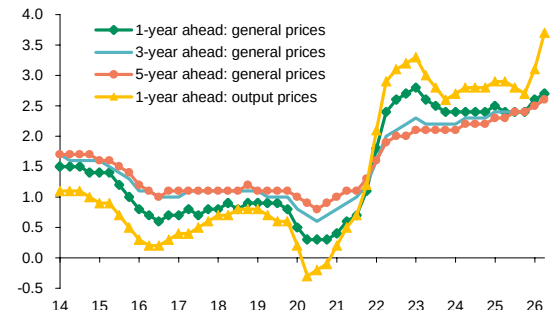
Sources: METI, BNP Paribas

Fig. 3: Core CPI excluding institutional factors (% y/y)



Sources: BoJ, BNP Paribas

Fig. 4: Inflation outlook of enterprises (% y/y)



Sources: BoJ, BNP Paribas



"The government expects the Bank to conduct monetary policy as appropriate ... while acknowledging initiatives taken by the Takaichi Cabinet, such as strategic investments that boost resilience to potential crises and investments that promote growth."

The 30 June addition of Ayano Sato to the monetary policy board means that there are now two 'reflationists' among its nine members. Moreover, two 'hawks' – Hajime Takata and Naoki Tamura – are set to step down in summer 2027, and the terms of Governor Kazuo Ueda and his two deputies will end in early 2028.

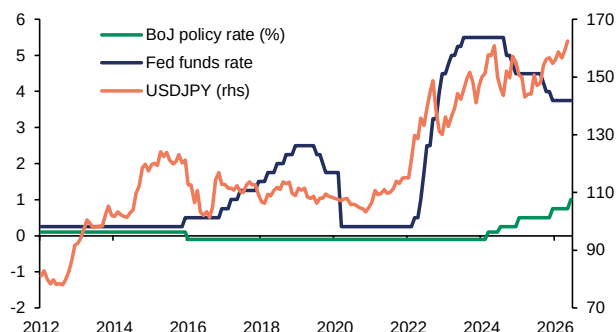
It is thus conceivable that the predominant mindset on the board could be very different less than two years from now, depending on the new appointees. At this point, we believe the top contender to succeed Ueda is Masazumi Wakatabe, a former BoJ deputy governor with a reflationist profile, who was selected by the Takaichi administration as a private-sector expert on the Council on Economic and Fiscal Policy.

Higher terminal rate: Given the possible mix of clear political pressure and government appointments to the monetary policy board, our base case is for the BoJ to stick to a gradual pace of tightening by making further rate hikes at roughly four- to five-month intervals.

This would be a little faster than the average of about six to seven months since it exited its negative-interest-rate policy in March 2024, but we note that most of those moves came when the Fed was either easing or maintaining an easing bias out of concern over downside risks to the US economy.

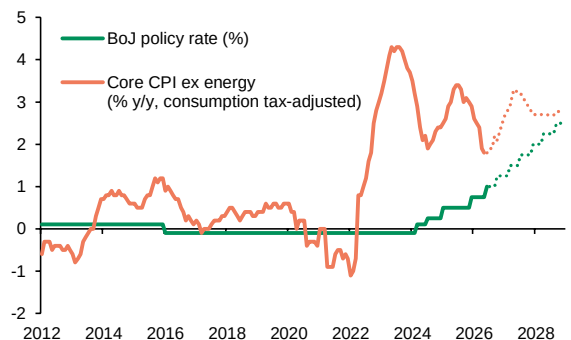
In our view, even hiking about once every four to five months would likely leave the BoJ behind the curve, given solid domestic fundamentals, continued fiscal expansion, and Fed rate hikes. As we expect the yen and JGBs to remain under selling pressure (see next page) and inflation stubbornly above target, we think the Takaichi administration will accept further rate hikes, albeit reluctantly.

Fig. 5: Japan and US policy rates and USDJPY



Sources: Bloomberg, BNP Paribas

Fig. 6: Japan policy rate and core CPI



Dotted lines denote BNP Paribas forecasts
Sources: Bloomberg, MIC, BNP Paribas

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Market views

Rates: As the yield curve prices in an extended rate-hike cycle, we think it is natural to assume a steeper curve, and this time beyond 5y or 10y.

In fact, yield curve dynamics are already changing in such a direction. Since June, markets have regarded the BoJ as being behind the curve, as we discussed on the previous page. Still, the 5y sector, as the conventional belly of the curve, has richened from -6bp in early June to beyond -10bp, while the belly in the longer-sector fly (5s10s20s) has cheapened. We interpret this as a shift in the market's perception of which sector to regard as the main belly.

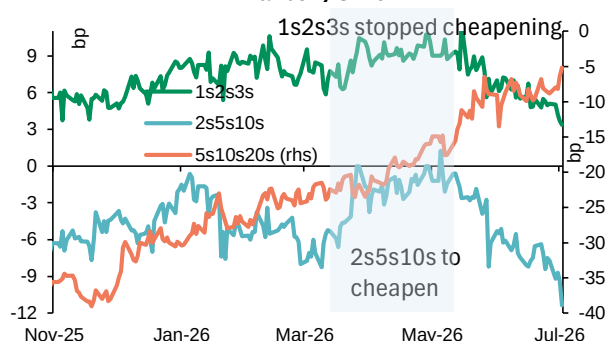
In March–April, when the BoJ appeared to hesitate over hikes due to the Middle East conflict, similar dynamics were observed in 1s2s3s and 2s5s10s: while 1s2s3s stopped cheapening, 2s5s10s started to cheapen (see Figure 7 and [JPY rates: Belly shifts from 5y to 10y](#), dated 2 July).

5s10s has steepened sharply to 66bp and 10s20s to 68bp (+10bp and +2bp this week, respectively). We see uncertainty over fiscal policy as an added factor for the steepening. At the same time, we do not like to chase the steepening just after a sharp move and instead will look for a dip to enter a steepener in 10s20s.

FX: Even with a higher terminal rate forecast, the cadence of rate hikes we expect still leaves the BoJ well behind the curve. Our view remains that as long as the BoJ remains behind the curve, the JPY will gradually weaken.

As we see the Fed gearing up to hike rates this year, we think USD carry will prove attractive, as it typically does in the lead-up to the first Fed hike. USDJPY screens as an attractive USD long in this respect, in vol-adjusted carry terms.

Fig. 7: Comparing 1s2s3s and 2s5s10s suggests a 'belly shift'



Shaded area represents the period the BoJ appeared to hesitate over hikes due to the Middle East conflict
Sources: Bloomberg, BNP Paribas

As such, we project USDJPY rising to 165 by year end but would not be surprised if it breaks above this level in the coming months. We remain long USDJPY, targeting 170 (see [Adding long USD carry via long USDJPY and USDCHE](#), 23 June).

We think Japan's finance ministry may be sensitive to further JPY weakness, and we would not rule out intervention. Unless this is jointly conducted with the US, however, we would expect the impact to be short-lived and for the market's propensity to buy the dip to remain strong. For more on this and views on other factors behind JPY flows, see [FX: Comparing flow dynamics for the JPY, KRW and TWD](#), dated 15 June.

Equity derivatives: With the 12-month forward P/E ratio on the Nikkei 225 index trading near its highest level relative to the Topix index since the start of the Abenomics period in 2012, recent volatility in AI growth expectations has put profit-taking pressure on NKY (-5% from all-time high in the past two weeks) and could encourage investors to rotate to the more domestic-focused TPX (-2% over the same period).

Since the start of current BoJ tightening cycle, the 12-month forward P/B on Topix banks (TPNBK) has been tracking the upward movement in forward interest rate expectations. In our view, there could be more upside to Japanese banks' valuation, as the JPY 2y1m OIS is trading at 2.0% versus our new terminal rate forecast of 2.5% in September 2028 (for more, see [Equity derivative: Potential catch-up rally in Japan banks](#), dated 11 May).

In addition, the Japanese government's new growth strategy for FY2040, which emphasizes semiconductors, cloud computing and data centers, highlights ample opportunities for the construction and power generation sectors – two core components in our BNPP Japan Domestic Exposure basket (BNPJPDM2), together with banks and real estate.

In other developed economies, the real estate sector tends to underperform during a rate-hike cycle. However, as Japan's real interest rates remain negative, we see the current macroeconomic backdrop supporting capital flows into financial and physical assets. The TPREAL (+2.5%) index has outperformed NKY (-5%) by 7.5% since the broader market reached an all-time high on 22 June.



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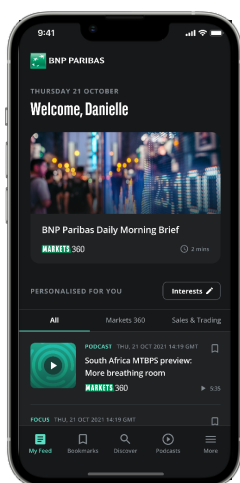
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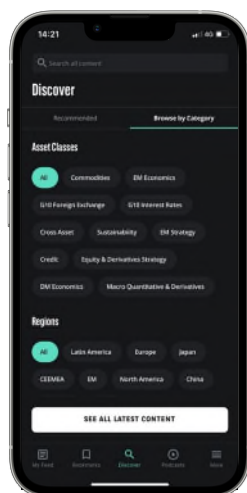
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